

at A, well above the low at B.

On October 6, I made mention of a small cup-with-handle pattern. I show that as CD (cup) with handle E. Yes, the cup bottom isn't rounded at all. It's more like an ugly double bottom as part of a big W (a pattern with a higher second bottom (the ugly part) and one with tall sides—the big W).

Let's advance the timeline to 4 October 1997, a year later. “I placed an order to sell half my holdings at the market tomorrow. Why? A budding double top formation. I know that you should wait for confirmation, but the decline to 7.63 from the current 8.75 is just too far to wait. If it continues to rise (fundamentally speaking, the prospects are bright), then I still have half my holdings. If it declines to the formation base, at 7.63, or continues on down for another 18% (average for a [double top] reversal), then I'll have the opportunity to buy more. Also, the top at 9.06 is slightly higher than the prior top, 9.03, which is slightly more likely for a double top.”

I show the sale at H. The “budding double top” is at F and G. My spreadsheet of the trade calls this an Eve & Adam double top, but is it really? My computer will tell you it's an Eve & Eve, and I think it's an Adam & Eve. That's the problem with Adam and Eve designations. It's too subjective.

Anyway, I made 52% on the trade. The stock reached the ultimate low at I, at 7.20 or 19% below where I sold (at 8.88). Then the stock recovered and peaked at 14.48 in June 1998.

- Lesson: If you think a double top is forming, consider selling near the second peak. If you're right, it could save you money as price drops to confirmation. However, price won't confirm a double top 60% of the time, meaning price will rise instead of drop.

In this trade, selling half of my holding worked well. On the second half of the trade, I made 153%.

Sample Trade

[Figure 32.5](#) shows a sample trade for an Eve & Adam double top. As you look at the figure, it may strike you that the double top takes place in a